

WHY INDIA TRAILS IN AI

INDIA IS THE WORLD'S TOP USER OF CHATGPT, YET IT LACKS A CLEAR VISION FOR ARTIFICIAL INTELLIGENCE AND ENTERPRISES ARE YET TO HARNESS ITS FULL POTENTIAL. WILL BOLD POLICY MOVES HELP INDIA SHAPE THE FUTURE OF AI?

BY PALAK AGARWAL

| 73

ILLUSTRATION BY NILANJAN DAS

▶ **LIKE THE REST** of the world, India, too, has been riding the Artificial Intelligence (AI) wave since OpenAI's generative AI (GenAI) model ChatGPT rocked the tech world three years ago.

From boardrooms to policymakers everyone is discussing this disruptive technology. Not to be left behind, India has also sought to play catch-up in the AI race with the government selecting local firm Sarvam.AI under the IndiaAI Mission to build the country's first foundational model. This comes six months after Chinese firm DeepSeek released its AI model, built on a more modest budget than OpenAI's, showing the world that frugal innovations are possible even here.

Indian firms are also racing to build foundational models because of the enthusiasm among domestic users. Consider this: India has the largest user base for ChatGPT, accounting for 13.5%

of monthly active users, comfortably ahead of the US at nearly 9%, as per data from technology investment firm Bond. And it isn't just ChatGPT. Even for DeepSeek, India is the third-largest market, behind China and Russia.

But is India late to the game? "India has embraced AI with unmatched enthusiasm," says Puneet Chandok, President of Microsoft India & South Asia. Some major companies like Apollo Hospitals, Bajaj Finserv and RailTel are embedding AI into workflows. For instance, Apollo Hospitals has teamed up with Microsoft to develop and implement an AI road map focusing on expanding Apollo's remote healthcare platform globally and creating new healthtech solutions.

As per Microsoft, Indian enterprises are gaining as much as 5x returns on their GenAI investments, outperforming global averages. Yet, there's a significant gap between consumer